

Diploma in
**Leadership and
Management**

Scanning the Environment



Understand what is meant by scanning the business environment ◀

Discuss the PESTEL analysis framework ◀

Objectives

Scanning the business environment





Frequently
asked
Questions



Scanning the environment explained

Environmental Scanning is a business term used to help leaders survey the landscape of competitors, customers and new innovations for products and services.

Key elements of environment scanning

- Shifts
- Starts
- Substitutes
- Signs





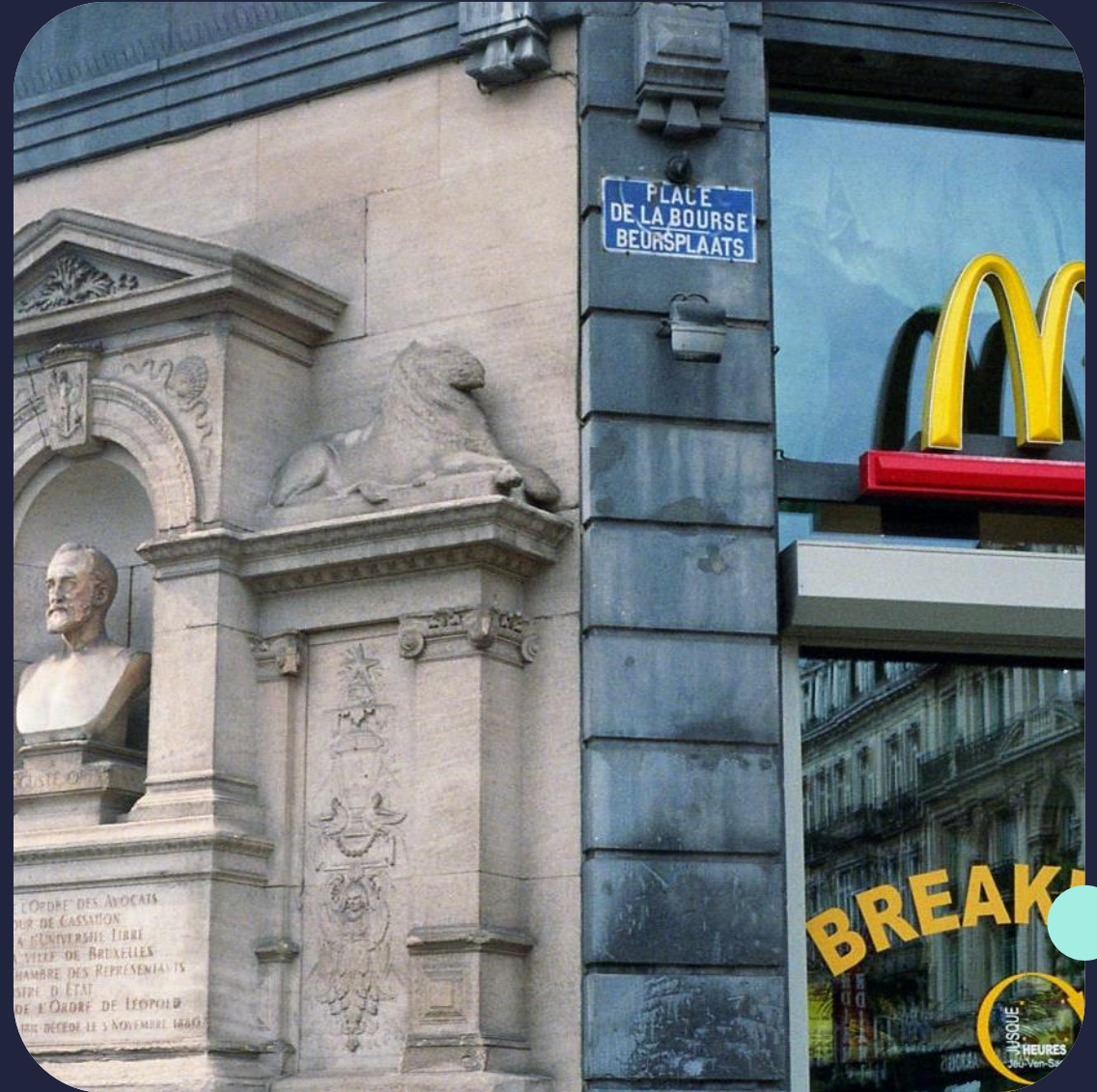
Porter's Five Force Model

- Threat of substitute products or services
- Bargaining power of suppliers
- Threat of new entrants
- Bargaining power of the buyers
- Rivalry among existing competitors



Porter's Five Force Model applied: McDonalds

- Threat of substitutes or substitution
– Strong Force
- Bargaining power of suppliers
– Weak Force
- Threat of new entrants or new entry
– Moderate Force
- Bargaining power of buyers or customers – Strong Force
- Competitive rivalry or competition
– Strong Force

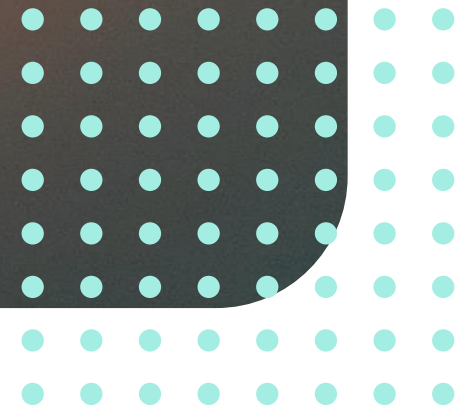


The red and white Coca-Cola logo is recognised by 94% of the world's population.

Wal-Mart averages a profit of \$1.8 million every hour. Google was originally called BackRub.

Samsung accounts for 20% of Korea's gross domestic product.

**DID YOU
KNOW?**



PESTEL



PESTEL explained

A PESTEL analysis is a framework to analyse the key factors (Political, Economic, Sociological, Technological, Legal and Environmental) influencing an organisation from the outside.



PESTEL explained

01

Political factors



02

Economic factors



03

Social factors



04

Technological
factors



05

Environmental
factors



06

Legal factors



PESTEL
explained



PESTEL key factors

Political factors

- Government stability/instability
- Corruption level
- Tax policies
- Freedom of press
- Government regulation and deregulation
- Special tariffs
- Political action committees



PESTEL key factors

Economic factors

- Growth rate
- Interest rate
- Inflation rate
- Exchange rate
- Availability of credit
- Level of disposable income
- Propensity of people to spend





PESTEL key factors

Social factors

- Population size and growth rate
- Birth rates
- Death rates
- Number of marriages
- Number of divorces
- Immigration and emigration rates
- Life expectancy rates



PESTEL key factors

Technological factors

- Technology incentives
- Automation
- R&D activity
- Technological change
- Access to new technology
- Level of innovation
- Technological awareness
- Internet infrastructure





PESTEL key factors

Environmental factors

- Weather
- Climate
- Environmental policies
- Climate change
- Pressures from NGOs
- Natural disasters
- Air and water pollution



PESTEL key factors

Legal factors

- Discrimination laws
- Antitrust laws
- Employment laws
- Consumer protection laws
- Copyright and patent laws
- Health and safety laws

